
MOODY'S



Second-Quarter 2015 Earnings Call

July 24, 2015

Overview

SALLI SCHWARTZ

GLOBAL HEAD OF INVESTOR RELATIONS

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2015 and other forward-looking statements in this presentation are made as of July 24, 2015, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the level of merger and acquisition activity in the US and abroad; the uncertain effectiveness and possible collateral consequences of US and foreign government initiatives to respond to the current world-wide credit disruptions and economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new US, state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act and anticipated regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation to which the Company may be subject from time to time; provisions in the Dodd-Frank Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those legacy tax matters and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the levels of capital investments; a decline in the demand for credit risk management tools by financial institutions; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2014 and in other filings made by the Company from time to time with the Securities and Exchange Commission.

1. Second-Quarter 2015 Results

RAY MCDANIEL

PRESIDENT AND CHIEF EXECUTIVE OFFICER

Agenda

1. Second-Quarter 2015 Results

Ray McDaniel, President and Chief Executive Officer

2. Financial and Operating Highlights

Linda Huber, Executive Vice President and Chief Financial Officer

3. 2015 Outlook

Ray McDaniel, President and Chief Executive Officer

4. Q&A

Ray McDaniel, President and Chief Executive Officer

Linda Huber, Executive Vice President and Chief Financial Officer

Michel Madelain, President and Chief Operating Officer, Moody's Investors Service

Mark Almeida, President, Moody's Analytics

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014

Moody's Corporation

» Revenue	↑ 5% to \$918 million
— US	↑ 18%
— Non-US	↓ 10%
» Expense	↑ 8% to \$499 million
» Operating Income	↑ 2% to \$419 million
» Adjusted Operating Income	↑ 3% to \$447 million

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014 (continued)

Moody's Corporation

- » Operating Margin • 45.7%
- » Adjusted Operating Margin • 48.7%
- » EPS ↑ 14% to \$1.28
(vs. non-GAAP 2Q14 EPS)*

*Excluded a \$103 million non-cash, pre-tax gain, or \$0.36 per share, resulting from Moody's acquisition of a controlling interest in ICRA Ltd. in the second-quarter of 2014

Year-to-Date 2015 Performance and Comparison to Year-to-Date 2014

Moody's Corporation

» Revenue	↑ 9% to \$1.8 billion
— MIS	↑ 8% to \$1.2 billion
— MA	↑ 11% to \$542 million
» Expense	↑ 11% to \$993 million
» Operating Income	↑ 6% to \$791 million
» Adjusted Operated Income	↑ 7% to \$847 million

Moody's Corporation

- *Excluded a \$103 million non-cash, pre-tax gain, or \$0.36 per share, resulting from Moody's acquisition of a controlling interest in ICRA Ltd. in the second-quarter of 2014

2. Financial and Operating Highlights

LINDA HUBER

EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014

Moody's Corporation Revenue

- » Total Global
 - ↑ 5% to \$918 million
 - ↑ 10% on a constant currency basis
- » US
 - ↑ 18% to \$546 million
- » Non-US
 - ↓ 10% to \$372 million
 - 41% of total global
- » Recurring Revenue
 - \$439 million
 - 48% of total revenue

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014 (continued)

MIS Revenue by Geography

- » Total MIS  2% to \$639 million
 - Foreign currency translation unfavorably impacted revenue by 5%
- » US  17% to \$412 million
- » Non-US  17% to \$227 million
 - 36% of total MIS

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014 (continued)

MIS Revenue by Line of Business

» Corporate Finance: \$320 million

- Global ↔ Approximately Flat
- US ↑ 18%
- Non-US ↓ 25%

» Structured Finance: \$121 million

- Global ↑ 10%
- US ↑ 20%
- Non-US ↓ 10%

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014 (continued)

MIS Revenue by Line of Business

» Financial Institutions: \$90 million

- Global ↓ 2%
- Constant Currency Basis ↑ 6%
- US ↑ 10%
- Non-US ↓ 9%

» Public, Project & Infrastructure Finance: \$100 million

- Global ↑ 2%
- US ↑ 10%
- Non-US ↓ 11%

» MIS Other: \$8 million in 2Q15 versus \$3 million in 2Q14

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014 (continued)

MA Revenue by Geography

» Total MA

↑ 12% to \$279 million

- Foreign currency translation unfavorably impacted revenue by 6%
- Excluding 2014 acquisitions of WebEquity and Lewtan, revenue grew by 7%

» US

↑ 23% to \$134 million

» Non-US

↑ 4% to \$145 million

- 52% of Total MA

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014 (continued)

MA Revenue by Line of Business

» RD&A: \$158 million

- Global ↑ 11%
 - 56% of total MA
- US ↑ 19%
- Non-US ↑ 2%

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014 (continued)

MA Revenue by Line of Business

» ERS: \$83 million

— Global	↑ 24%
— US	↑ 44%
— Non-US	↑ 14%
— TTM* Revenue	↑ 31%
— TTM* Sales	↑ 11%

» Professional Services: \$38 million

— Global	↓ 4%
— US	↑ 10%
— Non-US	↓ 10%

*Trailing twelve months

Second-Quarter 2015 Results and Comparison to Second-Quarter 2014 (continued)

Moody's Corporation

- » Total Expense ↑ 8% to \$499 million
 - Foreign currency translation favorably impacted expense by 5%

- » Operating Margin • 45.7%

- » Adjusted Operating Margin • 48.7%

- » On a constant currency basis and excluding our 2014 acquisitions, operating margin and adjusted operating margin would have been approximately flat

- » Effective Tax Rate • 30.4%

Capital Allocation

- » During 2Q15 repurchased 2.2 million shares at a total cost of \$235 million, or an average cost of \$107.35 per share, and issued approximately 374,000 shares under annual employee stock-based compensation plans
- » During the first half of 2015 repurchased 6 million shares at a total cost of \$601 million, or an average cost of \$99.61 per share
- » Shares outstanding totaled 200.3 million as of June 30, 2015
 - 5% decline from June 30, 2014
- » As of June 30, 2015, \$1 billion of share repurchase authority remaining

Balance Sheet and Free Cash Flow

- » As of June 30, 2015, Moody's had:
 - \$3.1 billion of outstanding debt
 - \$1 billion of additional debt capacity under revolving credit facility
 - Cash, cash equivalents and short-term investments of \$2 billion

- » Free cash flow of \$554 million in first half of 2015, up 32% from first half of 2014

- » As of June 30, 2015, approximately 67% of cash holdings maintained outside the US

3. 2015 Outlook

RAY MCDANIEL

PRESIDENT AND CHIEF EXECUTIVE OFFICER

2015 Outlook

- » Our guidance assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound and the euro of \$1.57 to £1 and \$1.11 to €1, respectively

Changes to 2015 Full-Year Financial Outlook*	
MIS	Current Guidance as of July 24, 2015
MIS U.S.	growth in the low-double-digit percent range
MIS Non-U.S.	Approximately flat
Structured finance	growth in the mid-single-digit percent range
Public, project and infrastructure finance	growth in the low-double-digit percent range
MA	
Professional services	decrease in the high-single-digit percent range
Effective tax rate	Approximately 31% - 32%
Capital Expenditures	\$100 - \$110 million

*Refer to "Moody's Corporation Reports Results for Second-Quarter 2015" press release for a full review of guidance

4. Q&A Session

- » Ray McDaniel

President and Chief Executive Officer, Moody's Corporation

- » Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

- » Michel Madelain

President and Chief Operating Officer, Moody's Investors Service

- » Mark Almeida

President, Moody's Analytics

Investor Day 2015

MOODY'S

Save the Date

Moody's Investor Day 2015

Wednesday, September 30, 2015

Moody's Corporation is holding its annual Investor Day. Located in New York, this event will feature presentations from our management team and showcase important aspects of our business.

Additional details to follow.

Replay Details

» Available from 3:30pm (Eastern Time) July 24, 2015 until 3:30pm (Eastern Time) August 22, 2015

» Telephone Details:

- US +1-877-400-0505
- Non-US +1-719-234-7477
- Passcode 2759861

» Webcast Details:

- Go to <http://ir.moodys.com>
- Click on “Events & Presentations” featured on the left
- Click on the link for “2Q 2015 Earnings Conference Call”

Appendix

Consolidated Statements of Operations

(Unaudited)

	Three Months Ended June 30,		Six Months End June 30,	
	2015	2014	2015	2014
<i>Amounts in millions, except per share amounts</i>				
Revenue	\$ 918.1	\$ 873.5	\$ 1,783.7	\$ 1,640.7
Expenses:				
Operating	243.9	222.1	488.3	438.1
Selling, general and administrative	227.0	217.4	448.3	412.5
Depreciation and amortization	27.9	22.3	56.5	45.4
Total expenses	498.8	461.8	993.1	896.0
Operating income	419.3	411.7	790.6	744.7
Non-operating (expense) income, net				
Interest (expense) income, net	(31.9)	(26.0)	(61.2)	(49.8)
Other non-operating (expense) income, net	(8.2)	(3.3)	(5.7)	(0.9)
ICRA Gain	-	102.8	-	102.8
Total non-operating (expense) income, net	(40.1)	73.5	(66.9)	52.1
Income before provision for income taxes	379.2	485.2	723.7	796.8
Provision for income taxes	115.1	160.8	228.3	250.7
Net income	264.1	324.4	495.4	546.1
Less: net income attributable to noncontrolling interests	2.4	5.2	3.6	8.9
Net income attributable to Moody's Corporation	\$ 261.7	\$ 319.2	\$ 491.8	\$ 537.2
Earnings per share attributable to Moody's common shareholders				
Basic	\$ 1.30	\$ 1.51	\$ 2.43	\$ 2.52
Diluted	\$ 1.28	\$ 1.48	\$ 2.39	\$ 2.47
Weighted average number of shares outstanding				
Basic	201.3	212.0	202.0	213.0
Diluted	204.4	215.7	205.4	217.1

Supplemental Revenue Information

(Unaudited)

Amounts in millions	Three Months Ended June 30,		Six Months Ended June 30,	
	2015	2014	2015	2014
Moody's Investors Service				
Corporate Finance	\$ 319.6	\$ 320.9	\$ 618.3	\$ 585.3
Structured Finance	121.2	110.6	222.5	205.9
Financial Institutions	90.4	92.2	184.2	177.6
Public, Project and Infrastructure Finance	99.9	98.0	200.6	178.7
MIS Other*	8.1	3.3	15.9	6.6
Intersegment royalty	23.7	21.9	46.0	43.4
Sub-total MIS	662.9	646.9	1,287.5	1,197.5
Eliminations	(23.7)	(21.9)	(46.0)	(43.4)
Total MIS revenue	<u>639.2</u>	<u>625.0</u>	<u>1,241.5</u>	<u>1,154.1</u>
Moody's Analytics				
Research, Data and Analytics	157.5	141.4	307.1	279.0
Enterprise Risk Solutions	83.2	67.2	160.3	127.0
Professional Services	38.2	39.9	74.8	80.6
Intersegment revenue	3.1	3.3	6.4	6.6
Sub-total MA	282.0	251.8	548.6	493.2
Eliminations	(3.1)	(3.3)	(6.4)	(6.6)
Total MA revenue	<u>278.9</u>	<u>248.5</u>	<u>542.2</u>	<u>486.6</u>
Total Moody's Corporation revenue	<u>\$ 918.1</u>	<u>\$ 873.5</u>	<u>\$ 1,783.7</u>	<u>\$ 1,640.7</u>
Moody's Corporation revenue by geographic area				
United States	\$ 545.9	\$ 461.1	\$ 1,045.7	\$ 886.7
International	<u>372.2</u>	<u>412.4</u>	<u>738.0</u>	<u>754.0</u>
	<u>\$ 918.1</u>	<u>\$ 873.5</u>	<u>\$ 1,783.7</u>	<u>\$ 1,640.7</u>

*Pursuant to the acquisition of ICRA Ltd. (ICRA) in 2014, the Company realigned certain components of its presentation of revenue by LOB. Beginning in the fourth quarter of 2014, ICRA's non-ratings revenue was combined with non-ratings revenue associated with Moody's majority ownership of Korea Investors Service (KIS) to form the "MIS Other" LOB. Non-ratings revenue from KIS was previously reported in MA's RD&A LOB. Expenses relating to ICRA's and KIS's non-ratings revenue are now reported in the MIS segment. The prior year comparative results have been reclassified to reflect this realignment.

Non-Operating (Expense) Income, Net

The following table summarizes the 2014 impact of the reclassification of non-ratings revenue associated with Moody's majority ownership of KIS, which was formerly reported in MA's RD&A LOB, to the MIS Other LOB.

	Three Months Ended June 30, 2014			Six Months Ended June 30, 2014		
<i>Amounts in millions</i>	As Reported	Reclassification	As Reclassified	As Reported	Reclassification	As Reclassified
Moody's Investors Service						
Corporate Finance	\$ 320.9	\$ -	\$ 320.9	\$ 585.3	\$ -	\$ 585.3
Structured Finance	110.6	-	110.6	205.9	-	205.9
Financial Institutions	92.2	-	92.2	177.6	-	177.6
Public, Project and Infrastructure Finance	98.0	-	98.0	178.7	-	178.7
MIS Other	-	3.3	3.3	-	6.6	6.6
Total MIS revenue	621.7	3.3	625.0	1,147.5	6.6	1,154.1
Moody's Analytics						
Research, Data and Analytics	144.7	(3.3)	141.4	285.6	(6.6)	279.0
Enterprise Risk Solutions	67.2	-	67.2	127.0	-	127.0
Professional Services	39.9	-	39.9	80.6	-	80.6
Total MA revenue	251.8	(3.3)	248.5	493.2	(6.6)	486.6
Total Moody's Corporation revenue	\$ 873.5	\$ -	\$ 873.5	\$ 1,640.7	\$ -	\$ 1,640.7

Selected Consolidated Balance Sheet Data (Unaudited)

Amounts in millions

	June 30, 2015	December 31, 2014
Cash and cash equivalents	\$ 1,538.6	\$ 1,219.5
Short-term investments	508.9	458.1
Total current assets	3,064.0	2,686.4
Non-current assets	1,935.5	1,982.6
Total assets	4,999.5	4,669.0
Total current liabilities	1,124.8	1,199.7
Total debt ⁽¹⁾	3,106.1	2,547.3
Other long-term liabilities	872.0	879.1
Total shareholders' (deficit) equity*	(103.4)	42.9
Total liabilities and shareholders' equity	4,999.5	4,669.0
Actual number of shares outstanding	200.3	204.4

* The decrease primarily reflects share repurchases and FX translation losses partially offset by net income in the first six months of 2015.

	June 30, 2015	December 31, 2014
⁽¹⁾ Total debt consists of the following:		
Series 2007-1 Notes due 2017	\$ 300.0	\$ 300.0
2010 Senior Notes due 2020 ^(a)	504.7	503.8
2012 Senior Notes due 2022 ^(b)	497.0	496.9
2013 Senior Notes due 2024 ^(c)	497.6	497.5
2014 Senior Notes due 2019 ^(d)	451.3	450.7
2014 Senior Notes due 2044 ^(e)	298.4	298.4
2015 Senior Notes due 2027 ^(f)	557.1	-
Total debt	<u>\$ 3,106.1</u>	<u>\$ 2,547.3</u>

^(a)Represents \$500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount and include a \$6.5 million and a \$5.8 million adjustment relating to the fair value of an interest rate hedge at June 30, 2015 and December 31, 2014, respectively

^(b)Represents \$500 million of 4.5% publicly traded Senior Notes which mature on September 1, 2022; the notes were offered to the public at 99.218% of the face amount

^(c)Represents \$500 million of 4.9% publicly traded Senior Notes which mature on February 15, 2024; the notes were offered to the public at 99.431% of the face amount

^(d)Represents \$450 million of 2.75% publicly traded Senior Notes which mature on July 15, 2019; the notes were offered to the public at 99.838% of the face amount and include a \$1.9 million and a \$1.4 million adjustment relating to the fair value of an interest rate hedge at June 30, 2015 and December 31, 2014, respectively

^(e)Represents \$300 million of 5.25% publicly traded Senior Notes which mature on July 15, 2044; the notes were offered to the public at 99.462% of the face amount

^(f)Represents €500 million of 1.75% publicly traded Senior Notes which mature on March 9, 2027

Non-operating (expense) income, net

	Three Months Ended June 30,		Six Months Ended June 30,	
	2015	2014	2015	2014
<i>Amounts in millions</i>				
Interest expense, net:				
Expense on borrowings	\$ (30.7)	\$ (25.6)	\$ (59.0)	\$ (51.7)
Income	2.3	1.7	4.2	3.3
UTPs and other tax related liabilities	(3.5)	(2.1)	(6.7)	(1.5)
Interest Capitalized	-	-	0.3	0.1
Total interest expense, net	<u>\$ (31.9)</u>	<u>\$ (26.0)</u>	<u>\$ (61.2)</u>	<u>\$ (49.8)</u>
Other non-operating (expense) income, net:				
FX gain/(loss)	\$ (12.2)	\$ (7.1)	\$ (12.2)	\$ (6.1)
Joint venture income (loss)	3.4	3.5	5.3	5.3
Other	0.6	0.3	1.2	(0.1)
Other non-operating income (expense), net	<u>(8.2)</u>	<u>(3.3)</u>	<u>(5.7)</u>	<u>(0.9)</u>
ICRA Gain	-	102.8	-	102.8
Total non-operating (expense) income, net	<u>\$ (40.1)</u>	<u>\$ 73.5</u>	<u>\$ (66.9)</u>	<u>\$ 52.1</u>

Financial Information by Segment

	Three Months Ended June 30,							
	2015				2014			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	\$ 662.9	\$ 282.0	\$ (26.8)	\$ 918.1	\$ 646.9	251.8	(25.2)	\$ 873.5
Operating, selling, general and administrative expense	287.0	210.7	(26.8)	470.9	271.7	193.0	(25.2)	439.5
Adjusted operating income	375.9	71.3	-	447.2	375.2	58.8	-	434.0
Depreciation and amortization	15.8	12.1	-	27.9	11.4	10.9	-	22.3
Operating income	\$ 360.1	\$ 59.2	\$ -	\$ 419.3	\$ 363.8	\$ 47.9	\$ -	\$ 411.7
Adjusted operating margin	56.7%	25.3%		48.7%	58.0%	23.4%		49.7%
Operating margin	54.3%	21.0%		45.7%	56.2%	19.0%		47.1%

	Six Months Ended June 30,							
	2015				2014			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	\$ 1,287.5	\$ 548.6	\$ (52.4)	\$ 1,783.7	\$ 1,197.5	493.2	(50.0)	\$ 1,640.7
Operating, selling, general and administrative expense	568.3	420.7	(52.4)	936.6	520.3	380.3	(50.0)	850.6
Adjusted operating income	719.2	127.9	-	847.1	677.2	112.9	-	790.1
Depreciation and amortization	31.8	24.7	-	56.5	22.8	22.6	-	45.4
Operating income	\$ 687.4	\$ 103.2	\$ -	\$ 790.6	\$ 654.4	\$ 90.3	\$ -	\$ 744.7
Adjusted operating margin	55.9%	23.3%		47.5%	56.6%	22.9%		48.2%
Operating margin	53.4%	18.8%		44.3%	54.6%	18.3%		45.4%

Transaction and Relationship Revenue

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes, shelf registrations and other non-rating subscription based revenue. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and outsourced research and analytical engagements.

	Three Months Ended June 30,					
	2015			2014		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	\$232.8	\$86.8	\$319.6	\$238.5	\$82.4	\$320.9
	73%	27%	100%	74%	26%	100%
Structured Finance	\$80.3	\$40.9	\$121.2	\$70.0	\$40.6	\$110.6
	66%	34%	100%	63%	37%	100%
Financial Institutions	\$32.8	\$57.6	\$90.4	\$32.5	\$59.7	\$92.2
	36%	64%	100%	35%	65%	100%
Public, Project and Infrastructure Finance	\$62.2	\$37.7	\$99.9	\$61.8	\$36.2	\$98.0
	62%	38%	100%	63%	37%	100%
MIS Other	\$4.1	\$4.0	\$8.1	-	\$3.3	\$3.3
	51%	49%	100%	-	100%	100%
Total MIS	\$412.2	\$227.0	\$639.2	\$402.8	\$222.2	\$625.0
	64%	36%	100%	64%	36%	100%
Moody's Analytics	\$67.1	\$211.8	\$278.9	\$58.8	\$189.7	\$248.5
	24%	76%	100%	24%	76%	100%
Total Moody's Corporation	\$479.3	\$438.8	\$918.1	\$461.6	\$411.9	\$873.5
	52%	48%	100%	53%	47%	100%

Refer to "Moody's Corporation Reports Results for Second-Quarter 2015" press release for table details

Transaction and Relationship Revenue (continued)

	Six Months Ended June 30,					
	2015			2014		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	\$446.3	\$172.0	\$618.3	\$426.3	\$159.0	\$585.3
	72%	28%	100%	73%	27%	100%
Structured Finance	\$142.1	\$80.4	\$222.5	\$125.8	\$80.1	\$205.9
	64%	36%	100%	61%	39%	100%
Financial Institutions	\$70.6	\$113.6	\$184.2	\$61.5	\$116.1	\$177.6
	38%	62%	100%	35%	65%	100%
Public, Project and Infrastructure Finance	\$126.7	\$73.9	\$200.6	\$104.8	\$73.9	\$178.7
	63%	37%	100%	59%	41%	100%
MIS Other	\$7.4	\$8.5	\$15.9	-	\$6.6	\$6.6
	47%	53%	100%	-	100%	100%
Total MIS	\$793.1	\$448.4	\$1,241.5	\$718.4	\$435.7	\$1,154.1
	64%	36%	100%	62%	38%	100%
Moody's Analytics	\$127.7	\$414.5	\$542.2	\$113.3	\$373.3	\$486.6
	24%	76%	100%	23%	77%	100%
Total Moody's Corporation	\$920.8	\$862.9	\$1,783.7	\$831.7	\$809.0	\$1,640.7
	52%	48%	100%	51%	49%	100%

Refer to "Moody's Corporation Reports Results for Second-Quarter 2015" press release for table details

Non-GAAP Financial Measures

The tables below reflect certain adjusted results that the SEC defines as "non-GAAP financial measures" as well as a reconciliation of each non-GAAP measure to its most directly comparable GAAP measure. Management believes that such non-GAAP financial measures, when read in conjunction with the Company's reported results, can provide useful supplemental information for investors analyzing period-to-period comparisons of the Company's performance, facilitate comparisons to competitors' operating results and to provide greater transparency to investors of supplemental information used by management in its financial and operational decision-making. These non-GAAP measures, as defined by the Company, are not necessarily comparable to similarly defined measures of other companies. Furthermore, these non-GAAP measures should not be viewed in isolation or used as a substitute for other GAAP measures in assessing the operating performance or cash flows of the Company.

The Company presents this non-GAAP measure to exclude the impact of the ICRA Gain in the second quarter of 2014 to allow for a more meaningful comparison of Moody's diluted earnings per share from period to period. Below is a reconciliation of this measure to its most directly comparable U.S. GAAP amount:

<i>(amounts in millions)</i>	<u>Three Months Ended June 30,</u>		<u>Six Months Ended June 30,</u>	
	<u>2015</u>	<u>2014</u>	<u>2015</u>	<u>2014</u>
Diluted EPS - GAAP	\$ 1.28	\$ 1.48	\$ 2.39	\$ 2.47
ICRA Gain	-	(0.36)	-	(0.36)
Diluted EPS - Non-GAAP	<u>\$ 1.28</u>	<u>\$ 1.12</u>	<u>\$ 2.39</u>	<u>\$ 2.11</u>

Refer to "Moody's Corporation Reports Results for Second-Quarter 2015" press release for table details

Adjusted Operating Income and Adjusted Operating Margin

The table below reflects a reconciliation of the Company's operating income and operating margin to adjusted operating income and adjusted operating margin. The Company defines adjusted operating income as operating income excluding depreciation and amortization. The Company presents adjusted operating income because management deems this metric to be a useful measure of assessing the operating performance of Moody's, measuring the Company's ability to service debt, fund capital expenditures, and expand its business. Adjusted operating income excludes depreciation and amortization because companies utilize productive assets of different ages and use different methods of both acquiring and depreciating productive assets. Management believes that the exclusion of this item, detailed in the reconciliation below, allows for a more meaningful comparison of the Company's results from period to period and across companies. The Company defines adjusted operating margin as adjusted operating income divided by revenue.

	Three Months Ended June 30,		Six Months Ended June 30,	
	2015	2014	2015	2014
(amounts in millions)				
Operating income	\$ 419.3	\$ 411.7	\$ 790.6	\$ 744.7
Depreciation & amortization	27.9	22.3	56.5	45.4
Adjusted operating income	\$ 447.2	\$ 434.0	\$ 847.1	\$ 790.1
Operating margin	45.7%	47.1%	44.3%	45.4%
Adjusted operating margin	48.7%	49.7%	47.5%	48.2%

	Full-Year Ended December 31, 2015
Operating margin guidance	Approximately 43%
Depreciation and amortization	Approximately 3%
Adjusted operating margin guidance	Approximately 46%

Refer to "Moody's Corporation Reports Results for Second-Quarter 2015" press release for table details

Free Cash Flow

The table below reflects a reconciliation of the Company's net cash flows from operating activities to free cash flow. The Company defines free cash flow as net cash provided by operating activities minus payments for capital additions. Management believes that free cash flow is a useful metric in assessing the Company's cash flows to service debt, pay dividends and to fund acquisitions and share repurchases. Management deems capital expenditures essential to the Company's product and service innovations and maintenance of Moody's operational capabilities. Accordingly, capital expenditures are deemed to be a recurring use of Moody's cash flow.

	Six Months Ended June 30,	
	2015	2014
<i>(amounts in millions)</i>		
Net cash flows from operating activities	\$ 594.4	\$ 458.0
Capital additions	(40.7)	(38.8)
Free cash flow	<u>\$ 553.7</u>	<u>\$ 419.2</u>
Net cash used in investing activities	\$ (91.8)	\$ (113.4)
Net cash used in financing activities	\$ (157.6)	\$ (501.2)

	Full-Year Ended December 31, 2015
Net cash flows from operating activities guidance	Approximately \$1.1 billion
Capital additions guidance	<u>Approximately \$100 - \$110 million</u>
Free cash flow guidance	<u>Approximately \$1.0 billion</u>

Refer to "Moody's Corporation Reports Results for Second-Quarter 2015" press release for table details

Constant Currency Measures

The Company presents revenue and expense growth on a constant currency basis because management deems this metric to be a useful measure of assessing the operations of the Company in times of foreign exchange rate volatility. Constant currency measures exclude the impact of changes in foreign exchange rates on operating results. The Company calculates the dollar impact of foreign exchange as the difference between the translation of its current period non-US dollar functional currency results using prior comparative period weighted average foreign exchange translation rates and current year as reported results. Growth rates on a constant currency basis are determined based on the difference between current period revenue and expenses translated using prior period comparative weighted average exchange rates and prior period as reported results divided by prior as reported results. Below is a reconciliation of the Company's reported revenue and expense changes to the changes on a constant currency basis:

Three Months Ended June 30, 2015				
	MCO		MCO	
	Revenue		Operating Income	
	\$	%	\$	%
Reported change	44.6	5%	7.6	2%
FX impact	42.8	5%	22.1	5%
Constant currency change	87.4	10%	29.7	7%

2015 Outlook

Full-year 2015 Moody's Corporation guidance		
MOODY'S CORPORATION	Current guidance as of July 24, 2015	Last publicly disclosed guidance on May 1, 2015
Revenue	growth in the mid-single-digit percent range	NC
Operating Expenses	growth in the mid-single-digit percent range	NC
Depreciation & amortization	Approximately \$120 million	NC
Operating Margin	Approximately 43%	NC
Adjusted Operating Margin	Approximately 46%	NC
Effective tax rate	Approximately 31% - 32%	Approximately 32% - 33%
GAAP EPS	\$4.55 to \$4.65	NC
Capital expenditures	Approximately \$100 - \$110 million	Approximately \$110 - \$115 million
Free cash flow	Approximately \$1 billion	NC
Share repurchases	Approximately \$1 billion (subject to available cash, market conditions and other ongoing capital allocation decisions)	NC

Full-year 2015 revenue guidance		
MIS	Current guidance as of July 24, 2015	Last publicly disclosed guidance on May 1, 2015
MIS global	growth in the mid-single-digit percent range	NC
MIS U.S.	growth in the low-double-digit percent range	growth in the high-single-digit percent range
MIS Non-U.S.	Approximately flat	growth in the low-single-digit percent range
Corporate finance	growth in the mid-single-digit percent range	NC
Structured finance	growth in the mid-single-digit percent range	growth in the low-single-digit percent range
Financial institutions	growth in the low-single-digit percent range	NC
Public, project and infrastructure finance	growth in the low-double-digit percent range	growth in the high-single-digit percent range
MA		
MA global	growth in the mid-single-digit percent range	NC
MA U.S.	growth in the low-double-digit percent range	NC
MA Non-U.S.	growth in the low-single-digit percent range	NC
Research, data and analytics	growth in the high-single-digit percent range	NC
Enterprise risk solutions	growth in the mid-single-digit percent range	NC
Professional services	decrease in the high-single-digit percent range	decrease in the low-single-digit percent range
NC- There is no difference between the Company's current guidance and the last publicly disclosed guidance for this item.		

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